Canada Revenue Agency | Agence du revenu du Canada

2025

Tax on Split Income

Complete Form T1206, Tax on Split Income (TOSI) if any of the following applies:

- you are a **specified individual**, have **split income** in the tax year, and the income is not an **excluded amount**
- you claimed a reserve on line C of your 2024 Form T1206

You are a **specified individual** if you were a resident of Canada at the end of the tax year, or in the case of a deceased individual, the individual was a resident of Canada immediately before their death. If you were under 18 years of age at the end of the year, at least one of your parents must have also been a resident of Canada at any time in the year. For excluded amounts and definitions, see page 2.

Split income

Split income **includes** the following amounts:

- **taxable dividends** on shares of a corporation (other than shares of a class listed on a designated stock exchange and those of a mutual fund corporation), that you received directly, or through a partnership or a trust (other than a mutual fund trust)
- **shareholder benefits** from the ownership of shares of a corporation (other than shares of a class listed on a designated stock exchange), conferred on you directly, or through a partnership or a trust (other than a mutual fund trust)

  Note
  If you were under 18 years of age at the end of the year and realized a taxable capital gain (other than an excluded amount), or received a distribution from a trust that is from a taxable capital gain (other than an excluded amount) of the trust, from a disposition of certain shares directly or indirectly to a person with whom you do not deal at arm's length, then 2 times the amount will be deemed to be a taxable dividend. Deemed dividends of this kind are considered non-eligible dividends. If this applies to you, fill out the "Dispositions of certain capital property" section on page 6.

- **income you received from a partnership or a trust** (other than a mutual fund trust or a trust relating to a communal organization), if the amount is considered to come directly or indirectly from one of the following:
  - a **related business** (see "Definitions" on page 2)
  - from the **rental of property** by a particular partnership or trust, if a person who is related to you at any time in the tax year:
    - actively participates on a regular basis in the rental property activities of the particular partnership or trust
    - in the case of a particular partnership, has an interest in the partnership, directly or indirectly, through one or more other partnerships
- **income related to a debt obligation** (for example, interest) that you received from a debtor corporation (other than a mutual fund corporation or a corporation with shares of a class listed on a designated stock exchange), partnership or trust (other than a mutual fund trust), if other amounts (for example, dividends) that you received from the debtor would be subject to the TOSI rules

  However, do not include the amounts received from any of the following debt obligations (an excluded debt obligation):
  - certain government debt obligations, where the interest would be "fully exempt interest"
  - publicly-listed or traded debt
  - a deposit standing to your credit at a bank or credit union
- **a taxable capital gain or a profit** you realized from the disposition of a property, or income you received from a trust that is from a taxable capital gain or a profit of the trust from the disposition of property, if the following conditions are met:
  - the amount is not included in the definition of split income
  - the income from the property would also be split income if you received it

  This applies to dispositions of any of the following properties:
  - a share of a corporation (other than a share of a class listed on a designated stock exchange or share of a mutual fund corporation)
  - an interest in a partnership or as a beneficiary under a trust (other than a mutual fund trust or trust that relates to certain communal organizations)
  - a debt obligation (other than an excluded debt obligation as described above)

  For property listed above other than shares of a corporation, this rule will only apply if one of the following conditions applies to the property:
  - an amount was included in your split income for this year or a previous year
  - all or part of the fair market value (FMV) of the property, determined immediately before its disposition was derived from a share of a corporation (other than a share of a class listed on a designated stock exchange or a share of a mutual fund corporation)

Excluded amounts

The following amounts will be excluded from your split income:

- income from a property that was transferred to you because of a separation agreement or judgment resulting from the breakdown of your marriage or common-law partnership
- taxable capital gains that arose from any of the following:
  - you disposed of **qualified farm or fishing property** or **qualified small business corporation shares**, or a taxable capital gain from such property that was realized by a trust was allocated to you as a beneficiary of the trust. This exclusion does not apply to capital gains that are deemed to be taxable dividends
  - there was a deemed disposition of capital property on the death of the taxpayer
- you were **at least** 18 years of age at the end of the year and the amount you received is any of the following:
  - **not** derived, directly or indirectly, from a **related business**
  - derived, directly or indirectly, from an **excluded business**
- you were **between** 18 and 24 years of age at the end of the year, and the amount you received is any of the following:
  - your **safe harbour capital return** for the year
  - an amount that represents a **reasonable return** from your arm's length capital contributions
- you were **under** 25 years of age at the end of the year and your income, or your taxable capital gain or profit from the disposition of property, was from a property you inherited from one of the following:
  - your parent
  - anyone else if, during the year, you were enrolled full-time in a post-secondary institution or you were eligible for the disability tax credit
- you were **at least** 25 years of age at the end of the year and you received any of the following:
  - income or taxable capital gain from the disposition of excluded shares
  - an amount that represents a **reasonable return** from a related business
- income, or taxable capital gain or profit from the disposition of property, if the amount would be an excluded amount of your spouse or common-law partner in one of the following situations:
  - if the amount was included in calculating the income of your spouse or common-law partner who was at least 65 years of age at the end of the year
  - if the amount was included in calculating the income in the final income tax return of your spouse or common-law partner who died during the year

For more information, go to **canada.ca/cra-income-sprinkling**.

Definitions

Arm's length capital

Property of the specified individual, where the property, or property for which it is a substitute, was not:

- acquired as income from, or a taxable capital gain or profit from the disposition of, another property that was derived directly or indirectly from a related business in respect of the specified individual
- borrowed by the specified individual under a loan or other debt
- transferred, directly or indirectly, to the specified individual from a person who was related to the specified individual (other than as a consequence of the death of a person)

Excluded business

An excluded business of a specified individual for a tax year means a business in which the individual is actively engaged on a regular, continuous and substantial basis in the business activities during the year, or in any five previous years (**five-year test**). However, gains from the disposition of property will be an excluded amount because of the excluded business exception only if the individual satisfies the five-year test.

If the individual works in the business an average of 20 hours or more per week during the portion of the year that the business operates, they are considered to have met the excluded business exception in the tax year. A specified individual does not need to work every week that the business operates in a year in order to satisfy the condition for the year. For example, the test would be satisfied if the specified individual works 30 hours per week for 20 weeks for a business that operates 25 weeks per year.

Excluded shares

Excluded shares of a specified individual are shares of the capital stock of a corporation that are owned by the individual if **all** of the following conditions are met:

- less than 90% of the business income of the corporation, for the corporation's last tax year before that time, is from the provision of services
- the corporation is not a professional corporation that carries on the professional practice of an accountant, dentist, lawyer, medical doctor, veterinarian, or chiropractor
- the specified individual owns 10% or more of shares of the capital stock of the corporation, determined by reference to their FMV relative to all of the issued and outstanding shares of the capital stock of the corporation, and to the votes that could be cast at an annual meeting of the shareholders of the corporation
- the income of the corporation for the corporation's last tax year is not derived directly or indirectly from another related business in respect of the specified individual, other than a business of the corporation

Reasonable return

A particular amount derived directly or indirectly from a related business in respect of the specified individual that satisfies both of the following criteria:

- the amount would be an amount defined under "Split income" on page 1, in respect of the specified individual for a tax year, if the following excluded amounts are not considered:
  - the specified individual was between 18 and 24 years of age at the end of the year, and received an amount that represents a reasonable return in respect of their arm's length capital contributions
  - the specified individual was at least 25 years of age at the end of the year, and received an amount that represents a reasonable return from a related business
- the amount is reasonable considering the relative contributions to the related business that were made by the specified individual, and each source individual in respect of the specified individual, having regard to the following factors:
  - the work they performed in support of the related business
  - the property they contributed, directly or indirectly, in support of the related business
  - the risks they assumed in respect of the related business
  - the total of all amounts that were paid or that became payable, directly or indirectly, by any person or partnership to, or for the benefit of them, in respect of the related business

Related business

A business will be a related business in respect of a specified individual for a tax year, if a source individual (see definition below) in respect of the specified individual is sufficiently connected to the business at any time in the year. This applies to one or more of the following situations:

- a business that is carried on by a source individual in respect of the specified individual, or by a partnership, corporation or trust, if a source individual in respect of the specified individual is actively engaged in the business
- a business of a particular partnership, if a source individual in respect of the specified individual has an interest, directly or indirectly, in the partnership
- a business of a corporation, if both of the following conditions are met:
  - a source individual in respect of the specified individual owns shares of the capital stock of the corporation, or property that derives, directly or indirectly, all or part of its FMV from shares of that capital stock
  - the total FMV of the shares and property described above that is owned by the source individual equals at least 10% of the total FMV of all of the issued and outstanding shares of the capital stock of the corporation

Safe harbour capital return

A return up to a prescribed interest rate based upon the FMV of property contributed by the specified individual in support of a related business (prorated according to the number of days in the year that the property, or property substituted for it, is used in support of the related business). The highest prescribed interest rate in effect for a quarter in the year is to be used.

Source individual

An individual (other than a trust) who, at any time in a year, is both resident in Canada and related to the specified individual.

TOSI-adjusted net income

Certain federal, provincial, and territorial amounts claimable by you, or by another person in respect of you, are calculated using your net income. As a **specified individual**, the amount that you include as a deduction at line 23200 of your return in respect of your split income must be added back to your net income for the purpose of calculating these amounts.

You can calculate your net income as adjusted for the split income deduction in Part 1 of this form. You will use the TOSI-adjusted net income from line 6 to calculate the amounts listed in the note in Part 1. In addition, your TOSI-adjusted net income will be used in place of your net income by a person claiming the amounts shown in Chart A below:

Chart A – Federal, provincial, and territorial amounts that apply to anyone claiming an amount for the taxpayer	
Amount	**Lines where the TOSI-adjusted net income of the specified individual is to be used**
Spouse or common-law partner amount	Line 30300 of the federal income tax return Line 58120 of Form 428 or Form 428MJ for all provinces and territories
Canada caregiver amount for spouse or common-law partner, or eligible dependant age 18 or older	Line 30425 of the federal income tax return Line 58170 of Form YT428 or Form YT428MJ for Yukon
Amount for an eligible dependant	Line 30400 of the federal income tax return Line 58160 of Form 428 or Form 428MJ for all provinces and territories
Other caregiver amounts	Line 30450 of the federal income tax return Line 58175 of Form BC428 or Form BC428MJ for British Columbia Line 58180 of Form YT428 or Form YT428MJ for Yukon Line 58185 of Form ON428 or Form ON428MJ for Ontario (use at line 2 of Worksheet ON428 or ON428MJ for line 58185) Lines 58200 and 58400 of Form 428 or Form 428MJ for all provinces and territories, **except** British Columbia, Ontario and Yukon (use at line 2 of your provincial or territorial worksheet for lines 58200 and 58400)
Refundable medical expenses supplement	Line 45200 of the federal income tax return (use at line 1 of column 2 of your Federal Worksheet for line 45200)
Canada workers benefit (CWB)	Line 45300 of the federal income tax return (use at column 2 of line 7 on Schedule 6)
Low-income tax reduction	Column 2 of line 70 of Form NB428 or line 34 of Form NB428MJ for New Brunswick Column 2 of line 65 of Form NS428 or line 34 of Form NS428MJ for Nova Scotia Column 2 of line 68 of Form PE428 or line 30 of Form PE428MJ for Prince Edward Island Column 2 of line 88 of Form NL428 or line 52 of Form NL428MJ for Newfoundland and Labrador
Sales tax credit and renter's tax credit	Column 2 of line 1 of Form BC479 for British Columbia
Childcare access and relief from expenses tax credit	Column 2 of line 1 of Schedule ON479-A for Ontario
Low-income individuals and families tax credit	Line 21 of Schedule ON428-A or Schedule ON428-A MJ, Part B for Ontario
Active families benefit	Column 2 of line 1 of Form SK479 for Saskatchewan
Family income	Column 2 of line 1 of Form MB479 for Manitoba
Ontario seniors care at home tax credit	Line 7 of Form ON479 for Ontario

This TOSI-adjusted net income will also be used in the calculation of your or your spouse's or common-law partner's:

- GST/HST credit and Canada child benefit
- Child benefit for New Brunswick, Newfoundland and Labrador, Nova Scotia, Northwest Territories, Nunavut, Ontario, Prince Edward Island, and Yukon
- Alberta child and family benefit
- British Columbia family benefit
- New Brunswick harmonized sales tax credit
- Newfoundland and Labrador disability benefit
- Newfoundland and Labrador income supplement
- Nova Scotia affordable living tax credit
- Ontario trillium benefit
- Ontario senior homeowners' property tax grant
- Prince Edward Island sales tax credit
- Saskatchewan low-income tax credit

TOSI-adjusted taxable income

Certain federal, provincial, and territorial amounts claimable by you, or by another person in respect of you, are calculated using your taxable income. As an individual subject to TOSI, the amount that you calculate at line 8A of this form must be added for the purpose of calculating these amounts.

- If you are completing a federal Schedule 11, calculate line 8A and add it to the amount on line 11 of Schedule 11
- With the exception of Ontario, if you are completing a provincial or territorial Schedule (S11), add the amount from line 33C of this form to Schedule (S11) at the line outlined in Column 10 of Chart C below, for the applicable province or territory
- If you have unused amounts that you are transferring to another person, they will use line 8A and line 33C as directed in Chart B

Chart B – Amounts that apply to anyone claiming an amount for the taxpayer

Amount	TOSI-adjusted taxable income applies instead of taxable income for the specified individual
Disability amount transferred from a dependant	Add the amount from line 8A of this form to line 11 of the Federal Worksheet for line 31800. Add the amount from line 33C of this form to line 10 of the worksheet for the applicable province or territory (except for Yukon) for line 58480. **Note:** For Yukon, you need to use the Federal Worksheet. Use the amount from line 33C (instead of line 8A) at line 11 of the Federal Worksheet for line 31800 to calculate the amount to enter at line 58480 of Form YT428 or Form YT428MJ.
Amount transferred from your spouse or common-law partner	Add the amount from line 8A of this form to line 7 of the federal Schedule 2. Add the amount from line 33C of this form to Schedule (S2) at the line outlined in Column 9 of Chart C below, or to Schedule (S2)MJ at the line outlined in Column 9 of Chart D, for the applicable province or territory.

Chart C – Use the information in the following chart to complete Part 3 of Form T1206

Column 1	Column 2	Column 3	Column 4	Column 5	Column 6	Column 7	Column 8	Column 9	Column 10
Province or territory	High tax rate	Low tax rate	Enter the amount from line 33 on:	Eligible dividend tax credit rate	Dividend other than eligible dividend tax credit rate	Provincial or territorial foreign tax credit from:	Enter on line 51 the amount from:	Taxable income from Schedule 2	Taxable income from Schedule 11
AB	15%	8%	Line 60 of Form AB428	8.12%	2.18%	Line 69 of Form AB428	Line 75 of Form AB428	Line 5 of Form AB(S2)	Line 2 of Form AB(S11)
BC	20.5%	5.06%	Line 62 of Form BC428	12%	1.96%	Line 71 of Form BC428	Line 91 of Form BC428	Line 6 of Form BC(S2)	Line 4 of Form BC(S11)
MB	17.4%	10.8%	Line 59 of Form MB428	8%	0.7835%	Line 73 of Form MB428	Line 82 of Form MB428	Line 6 of Form MB(S2)	Line 7 of Form MB(S11)
NB	19.5%	9.4%	Line 55 of Form NB428	14%	2.75%	Line 66 of Form NB428	Line 97 of Form NB428	Line 6 of Form NB(S2)	Line 4 of Form NB(S11)
NL	21.8%	8.7%	Line 64 of Form NL428	6.3%	3.2%	Line 73 of Form NL428	Line 105 of Form NL428	Line 6 of Form NL(S2)	Line 7 of Form NL(S11)
NS	21%	8.79%	Line 54 of Form NS428	8.85%	1.5%	Line 63 of Form NS428	Line 99 of Form NS428	Line 6 of Form NS(S2)	Line 7 of Form NS(S11)
NT	14.05%	5.9%	Line 53 of Form NT428	11.5%	6%	Line 62 of Form NT428	Line 66 of Form NT428	Line 6 of Form NT(S2)	Line 7 of Form NT(S11)
NU	11.5%	4%	Line 54 of Form NU428	5.51%	2.61%	Line 63 of Form NU428	Line 66 of Form NU428	Line 7 of Form NU(S2)	Line 11 of Form NU(S11)
ON	20.53%	5.05%	Line 54 of Form ON428	10%	2.9863%	Line 82 of Form ON428	Line 88 of Form ON428	Line 5 of Form ON(S2)	Not applicable
PE	19%	9.5%	Line 56 of Form PE428	10.5%	1.30%	Line 89 of Form PE428	Line 97 of Form PE428	Line 6 of Form PE(S2)	Line 7 of Form PE(S11)
SK	14.5%	10.5%	Line 61 of Form SK428	11%	2.519%	Line 70 of Form SK428	Line 82 of Form SK428	Line 7 of Form SK(S2)	Line 2 of Form SK(S11)
YT	15%	6.4%	Line 51 of Form YT428	12.02%	0.67%	Line 61 of Form YT428	Line 79 of Form YT428	Line 7 of Form YT(S2)	Line 6 of Form YT(S11)

Before you complete this form, read the instructions on pages 1 to 5. Attach this form to your paper return.

Dispositions of certain capital property – shares subject to TOSI

Complete this part if you (or a trust of which you are the beneficiary) disposed of shares to a person with whom you do not deal at arm's length, and the dividends from those shares would be subject to TOSI.

Capital gain on dispositions in 2025				**A**
Amount of 2024 reserve (from line C of Form T1206 for 2024)		**B**		
Amount of 2025 reserve (calculated below)	–	**C**		
Line B minus line C (if negative, show in brackets)	=	►	+	**D**
Line A plus line D	**Net capital gain**		=	**E**
Capital gains from box 21 of your T3 slip(s) (relating to dispositions in 2025)			+	**F**
Line E plus line F			=	**G**

If you were **under** 18 years of age at the end of the year, the amount at line G is deemed to be a dividend (other than eligible dividend). Multiply the amount from line G by 1.15 and include this amount under "Taxable amount of dividends (eligible and other than eligible)" on the Federal Worksheet, and on lines 12000 and 12010 of your return. In addition, enter this amount on lines 1 and 2 as indicated in Part 1 on page 7. Do not include this amount on Schedule 3.

If you were **18 years of age or older** at the end of the year, enter the amount from line G on the applicable line(s) of Schedule 3. In addition, multiply the capital gain for each disposition reported on lines A, B, C and F by 50% and enter the total on line 3 in Part 1 on page 7.

Calculation of reserve

Complete this calculation and include the total amount of your 2025 reserve on line C above. You can claim a reserve up to a maximum of four years for each disposition. Your reserve in each year cannot be more than whichever of the following two calculations is **less** (use a separate sheet of paper for multiple dispositions):

(i) Capital gain _____ × (Amount payable after the end of the year ÷ Proceeds of disposition) _____ = _____

(ii) Capital gain _____ × Applicable percentage for year of sale or year after sale (1) _____ % = _____

(1)

Year of sale	Year after sale
80%	1st year: 60%
	2nd year: 40%
	3rd year: 20%
	4th year: 0%

Part 1 – TOSI-adjusted net income

Part of the taxable amount of dividends (eligible and other than eligible) described in the information section received from taxable Canadian corporations	68330		1
Part of the taxable amount of dividends other than eligible dividends, included on line 1, from taxable Canadian corporations	68340		2
All other split income (see "Split income" on page 1)		+	3
Total split income: line 1 plus line 3 Enter this amount on line 23200 of your return.	68360	=	4
Net income from line 23600 of your tax return (or the amount you would have entered if the instructions on line 23600 read "if negative, show in brackets")		+	5
TOSI-adjusted net income: line 4 plus line 5 If negative, enter the result in brackets (see note below)		=	6

Note

Use the TOSI-adjusted net income from line 6 of this form in place of your net income from line 23600 to calculate the federal amounts you can claim, if applicable, for the following amounts: (If the TOSI–adjusted net income at line 6 is negative, use the negative value when it is part of an adjusted net income calculation, otherwise use zero.)

- the basic personal amount on line 30000 of your tax return (use line 6 of this form at line 3 of your Federal Worksheet for line 30000)
- the age amount on line 30100 of your tax return (use line 6 of this form at line 2 of your Federal Worksheet for line 30100)
- the refundable medical expenses supplement on line 45200 of your tax return (use line 6 of this form at line 1 of column 1 of your Federal Worksheet for line 45200)
- the Canada workers benefit (CWB) on line 45300 of your tax return (use line 6 of this form at line 7 of column 1 of Schedule 6)

Also, add the amount from line 4 of this form to line 6 of your Federal Worksheet in the calculation of the social benefits repayment for the calculation of lines 23500 and 42200 of your tax return, if applicable.

Also, add the amount from line 4 of this form to your taxable income when calculating your Ontario health premium on Form ON428 or to line 1 of worksheet ON428MJ for the calculation of line 68.

Use the TOSI-adjusted net income from line 6 of this form in place of your net income from line 23600 to calculate the provincial and territorial amounts you can claim, if applicable, for the following amounts: (If the TOSI–adjusted net income at line 6 is negative, use the negative value when it is part of an adjusted net income calculation, otherwise use zero.)

- the age amount on Form 428 or Form 428MJ for all provinces and territories (use line 6 of this form at line 2 of the calculation of line 58080 of your provincial or territorial worksheet)
- the low income tax reductions on Form 428 or Form 428MJ for New Brunswick (use line 6 of this form at column 1 of line 70 of Form NB428 or line 34 of Form NB428MJ), for Nova Scotia (use line 6 of this form at column 1 of line 65 of form NS428 or line 34 of Form NS428MJ), for Prince Edward Island (use line 6 of this form at column 1 of line 68 of Form PE428 or line 30 of Form PE428MJ), for British Columbia (use line 6 of this form at line 74 of Form BC428 or line 40 of Form BC428MJ), and for Newfoundland and Labrador (use line 6 of this form at column 1 of line 88 of Form NL428 or line 52 of Form NL428MJ)
- the sales tax credit and the renter's tax credit on Form BC479 for British Columbia (use line 6 of this form at column 1 of line 1 of Form BC479)
- the childcare access and relief from expenses tax credit for Ontario (use line 6 of this form at column 1 of line 1 of Schedule ON479-A)
- the low-income individuals and families tax credit for Ontario (use line 6 of this form at line 6 of Schedule ON428-A or Schedule ON428-A MJ)
- Saskatchewan active families benefit (use line 6 of this form at column 1 of line 1 of Form SK479)
- the Ontario seniors care at home tax credit (line 6 of Form ON479)
- the family income calculation for Manitoba (column 1 of line 1 of Form MB479)

For more information and further instructions, see "TOSI-adjusted net income" on page 4.

Part 2 – Federal tax on split income

Calculation of line 42000 of your return

Total split income from line 4 — **7**

Amount from line 7 multiplied by 33%
Enter this amount on line 40424 of your return. **Federal tax on split income** — **8**

TOSI-adjusted taxable income

Amount from line 8 ÷ 14.5% = **8A**

Use the amount from line 8A to adjust your taxable income for certain amounts.
For more information, see "TOSI-adjusted taxable income" on page 5.

Amount from line 41500 of your return + **9**

Line 8 plus line 9 = **10**

Federal disability tax credit

Amount from line 31600 of your return **11**

Amount from line 31800 of your return + **12**

Line 11 plus line 12 = **13** × 14.5% = ► − **14**

Line 10 minus line 14 = **15**

Federal dividend tax credit on split income

Amount from line 1 of Part 1 **16**

Amount from line 2 of Part 1 − **17** × 9.0301% = **19**

Line 16 minus line 17 (if negative, enter "0") = **18** × 15.0198% = + **20**

Line 19 plus line 20 = ► − **21**

Line 15 minus line 21 = **22**

Note

If the amount on line 22 is more than the amount on line 42900 of your return, use the amount on line 22 instead of the amount on line 42900 of your return when you calculate the refundable Quebec or Yukon First Nations abatement and the federal surtax on income earned outside Canada.

Federal foreign tax credit on split income

Part of the amount on line 3 that is from foreign sources **68370**
Total income from foreign sources **68380**
× Amount from line 40500 of your return = − **23**

Line 22 minus line 23 (if negative, enter "0") = **24**

Amount from line 40600 of your return **25**

Amount from line 41600 of your return − **26**

Line 25 minus line 26 (if negative, enter "0") = **27**

Amount from line 41500 of your return + **28**

Line 27 plus line 28 = **29**

Enter whichever is **more**: the amount from line 24 or line 29. **30**

Add the amount from line 30 to the amount from line 41800 of your return, and enter the result on line 42000 of your return.

Part 3 – Provincial or territorial tax payable by an individual with split income

If you are not completing Form T2203, Provincial and Territorial Taxes for Multiple Jurisdictions, complete lines 31 to 52 **only**. Enter your total split income from line 4 **on line 31** below**.**

If you are completing Form T2203, Provincial and Territorial Taxes for Multiple Jurisdictions, do **not** complete lines 31 to 52. Enter your total split income from line 4 **on line 53** in Part 4, Tax on Split Income for Multiple Jurisdictions, and complete lines 54 to 92.

Provincial or territorial tax on split income

Total split income from line 4		**31**
Tax rate that applies to your province or territory of residence from column 2 in Chart C on page 5	× %	**32**
The amount from line 31 multiplied by the tax rate you entered on line 32. Enter this amount on the line of your Form 428 shown in column 4 in Chart C on page 5.	=	**33**

TOSI-adjusted taxable income

Amount from line 33		**33A**
Tax rate that applies to your province or territory from column 3 in Chart C on page 5	÷ %	**33B**
Amount from line 33A divided by the tax rate you entered on line 33B	=	**33C**

Use the amount from line 33C to adjust your taxable income for certain amounts. For more information, see "TOSI-adjusted taxable income" on page 5.

Calculation of line 42800 of your return

Provincial or territorial disability tax credit (DTC)

DTC from line 58440 of your provincial or territorial Form 428			**34**
DTC transferred from a dependant from line 58480 of your provincial or territorial Form 428	+		**35**
Line 34 plus line 35	=		**36**
Tax rate that applies to your province or territory from column 3 in Chart C on page 5	× %		**37**
Amount from line 36 multiplied by the tax rate you entered on line 37	= ►	–	**38**
Line 33 minus line 38		=	**39**

Provincial or territorial dividend tax credit on split income for eligible dividends and dividends other than eligible dividends

Amount from line 18				**40**
Eligible dividend tax credit rate that applies to your province or territory from column 5 in Chart C on page 5	× %			**41**
Amount from line 40 multiplied by the rate you entered on line 41	= ►			**42**
Amount from line 17				**43**
Dividend other than eligible dividend tax credit rate that applies to your province or territory from column 6 in Chart C on page 5	× %			**44**
Amount from line 43 multiplied by the rate you entered on line 44	= ►	+		**45**
Line 42 plus line 45		= ►	–	**46**
Line 39 minus line 46			=	**47**

Part 3 – Provincial or territorial tax payable by an individual with split income (continued)

Provincial or territorial foreign tax credit on split income

Amount from line 47 on the previous page					**48**
Part of the amount from line 68370 on page 8 that is **non-business** income Part of the amount from line 68380 on page 8 that is **non-business** income		× Amount from line number of your Form 428 shown in column 7 in Chart C on page 5		–	**49**
Line 48 minus line 49				=	**50**
Amount from the line number of your Form 428 shown in column 8 of Chart C on page 5					**51**
Enter **whichever is more**: the amount from line 50 or line 51. Enter the amount from line 52 on line 42800 of your return. **(2)**					**52**

(2) If you were a resident of **Ontario**, enter this amount on line 88 of Form ON428 and complete the remaining lines of that form.

Part 4 – Tax on split income for multiple jurisdictions

Complete lines 53 to 77 for your province or territory of residence. Additionally, complete lines 78 to 92 to determine your tax on split income if you have income allocated to British Columbia (BC), Saskatchewan (SK), Newfoundland and Labrador (NL), Prince Edward Island (PE), Manitoba (MB), the Yukon (YT), the Northwest Territories (NT), Alberta (AB) or Nova Scotia (NS), and you are not a resident of any of these provinces or territories.

Provincial or territorial tax on split income, for your province or territory of residence

Total split income from line 4		53
Tax rate that applies to your province or territory of residence from column 2 in Chart E on page 14	× %	54
Amount from line 53 multiplied by the tax rate you entered on line 54 Enter this amount on the line of Form 428MJ for your province or territory of residence shown in column 4 in Chart E on page 14.	=	55
Percentage of income allocated to your province or territory of residence from Part 1 of Form T2203 (if you are a resident of Ontario, enter 100%)	× %	56
Amount from line 55 multiplied by the tax rate you entered on line 56	=	57

TOSI-adjusted taxable income

Amount from line 57		57A
Tax rate for your province or territory of residence from column 3 in Chart E on page 14	÷ %	57B
Amount from line 57A divided by the tax rate you entered on line 57B	=	57C

Use the amount from line 57C to adjust your taxable income when calculating provincial or territorial amounts for your province or territory of residence. For more information, see "TOSI-adjusted taxable income" on page 13.

Calculation of line 42800 for your province or territory of residence

Provincial or territorial disability tax credit (DTC)

DTC from line 58440 of Form 428MJ for your province or territory of residence			58
DTC transferred from a dependant from line 58480 of Form 428MJ for your province or territory of residence	+		59
Line 58 plus line 59	=		60
Tax rate that applies to your province or territory of residence from column 3 in Chart E on page 14	× %		61
Amount from line 60 multiplied by the tax rate you entered on line 61	=		62
Percentage of income allocated to your province or territory of residence in Part 1 of Form T2203	× %		63
Amount from line 62 multiplied by the percentage from line 63	=	► −	64
Line 57 minus line 64		=	65

Provincial or territorial dividend tax credit on split income for eligible dividends and dividends other than eligible dividends

Amount from line 18			66
Eligible dividend tax credit rate that applies to your province or territory of residence from column 5 in Chart E on page 14	× %		67
Amount from line 66 multiplied by the rate you entered on line 67	=	►	68

Provincial or territorial dividend tax credit on split income for eligible dividends and dividends other than eligible dividends (continued)

Amount from line 17				**69**
Dividend other than eligible dividend tax credit rate that applies to your province or territory of residence from column 6 in Chart E on page 14	× %			**70**
Amount from line 69 multiplied by the rate you entered on line 70	=	►	+	**71**
Line 68 plus line 71		=	► −	**72**
Line 65 minus line 72			=	**73**

Provincial or territorial foreign tax credit on split income

Part of the amount from line 68370 on page 8 that is **non-business** income					
Part of the amount from line 68380 on page 8 that is **non-business** income	×	Amount from line number of Form 428MJ for your province or territory of residence shown in column 7 in Chart E on page 14	=	−	**74**
Line 73 minus line 74				=	**75**
Amount from the line number of Form 428MJ for your province or territory of residence shown in column 8 of Chart E on page 14					**76**
Enter whichever is **more**: the amount from line 75 or line 76. Enter the amount from line 77 on the line for your province or territory of residence in Part 5 of Form T2203. **(3)**					**77**

(3) If you were a resident of **Ontario**, enter this amount on line 67 of Form ON428MJ and complete the remaining lines of that form.

Tax on Split income for multiple jurisdictions, province or territory with an income allocation that is not your province or territory of residence (complete for each province and territory)

Complete lines 78 to 92 for each applicable province or territory that you have income allocated to from Part 1 of Form T2203, and is not your province or territory of residence. The applicable provinces and territories are: British Columbia (BC), Saskatchewan (SK), Newfoundland and Labrador (NL), Prince Edward Island (PE), Manitoba (MB), the Yukon (YT), the Northwest Territories (NT), Alberta (AB), or Nova Scotia (NS).

Total split income from line 4		**78**
Tax rate for the applicable province or territory from column 2 in Chart E on page 14	× %	**79**
Amount from line 78 multiplied by the tax rate you entered on line 79 Enter this amount on the line of your Form 428MJ shown in column 4 in Chart E on page 14.	=	**80**
Percentage of income allocated to the applicable province or territory in Part 1 of your Form T2203	× %	**81**
Amount from line 80 multiplied by the tax rate you entered on line 81	=	**82**

TOSI-adjusted taxable income

Amount from line 82		**82A**
Tax rate for the applicable province or territory from column 3 in Chart E on page 14	÷ %	**82B**
Amount from line 82A divided by the tax rate you entered on line 82B	=	**82C**

Use the amount from line 82C to adjust your taxable income when calculating provincial or territorial amounts for BC, SK, NL, PE, MB, YT, NT, AB, or NS. For more information, see "TOSI-adjusted taxable income" on page 13.

Tax on Split income for multiple jurisdictions, province or territory with an income allocation that is not your province or territory of residence (complete for each province and territory) (continued)

Provincial or territorial disability tax credit (DTC)

DTC from line 58440 of the applicable provincial or territorial Form 428MJ			**83**		
DTC transferred from a dependant from line 58480 of the applicable provincial or territorial Form 428MJ	+		**84**		
Line 83 plus line 84	=		**85**		
Tax rate for the applicable province or territory from column 3 in Chart E on page 14	×	%	**86**		
Amount from line 85 multiplied by the tax rate you entered on line 86	=		**87**		
Percentage of income allocated to the applicable province or territory in Part 1 of your Form T2203	×	%	**88**		
Amount from line 87 multiplied by the percentage from line 88	=		►	−	**89**
Line 82 minus line 89				=	**90**
Amount from the line number of the applicable Form 428MJ shown in column 8 of Chart E on page 14					**91**
Enter whichever is **more**: the amount from line 90 or line 91. Enter the amount from line 92 on the applicable provincial or territorial line in Part 5 of T2203. Repeat for each province or territory where you have an income allocation in Part 1 of Form T2203.					**92**

TOSI-adjusted taxable income

Certain provincial and territorial amounts claimable by you, or by another person in respect of you, are calculated using your taxable income. As an individual subject to TOSI, the amount that you calculate at line 57C or line 82C (if applicable) must be added to your taxable income for the purpose of calculating these provincial and territorial amounts.

- With the exception of Ontario, if you are completing a provincial or territorial Schedule (S11) for your province or territory of residence, add the amount from line 57C of this form to Schedule (S11) at the line outlined in Column 10 of Chart C, for the applicable province or territory
- With the exception of Ontario, if you are completing a provincial or territorial Schedule (S11) MJ for a province or territory you did not reside in, add the amount from line 82C of this form to Schedule (S11) MJ at the line outlined in Column 10 of Chart E on next page, for the applicable province or territory
- If you have unused amounts that you are transferring to another person, they will use line 57C or 82C as directed in Chart D below

Chart D – Amounts that apply to anyone claiming an amount for the taxpayer	
Amount	**TOSI-adjusted taxable income applies instead of taxable income for the specified individual**
Disability amount transferred from a dependant	Add the amount from line 57C or 82C of this form, whichever applies, to line 10 under line 58480 on the worksheet for the applicable province or territory, except for Yukon. **Note:** For Yukon, you need to use the Federal Worksheet. Use the amount from line 57C (instead of line 8A) at line 11 of line 31800 of the Federal Worksheet to calculate the amount to enter on line 58480 of Form YT428MJ.
Amount transferred from your spouse or common-law partner	Add the amount from line 57C or 82C whichever applies, to Schedule (S2) to the line shown in Column 9 of Chart C, or to Schedule (S2)MJ to the line outlined in Column 9 of Chart E on the next page for the applicable province or territory.

Chart E – Use the information in the following chart to complete Part 4
(All forms referred to in this chart are included in Form T2203, Provincial and Territorial Taxes for Multiple Jurisdictions.)

Column 1	Column 2	Column 3	Column 4	Column 5	Column 6	Column 7	Column 8	Column 9	Column 10
Province or territory	**High tax rate**	**Low tax rate**	**Enter the amount from lines 55 and 80 on: (4)**	**Eligible dividend tax credit rate**	**Dividend other than eligible dividend tax credit rate**	**Provincial or territorial foreign tax credit from:**	**Enter on lines 76 or 91 amount from: (5)**	**Taxable income from Schedule (S2)MJ**	**Taxable income from Schedule (S11)MJ**
AB	15%	8%	Line 17 of Form AB428MJ	8.12%	2.18%	Line 37 of Form AB428MJ	Line 43 of Form AB428MJ	Line 5 of Form AB(S2)MJ	Line 2 of Form AB(S11)MJ
BC	20.5%	5.06%	Line 17 of Form BC428MJ	12%	1.96%	Line 37 of Form BC428MJ	Line 59 of Form BC428MJ	Line 6 of Form BC(S2)MJ	Line 4 of Form BC(S11)MJ
MB	17.4%	10.8%	Line 10 of Form MB428MJ	8%	0.7835%	Line 35 of Form MB428MJ	Line 44 of Form MB428MJ	Line 6 of Form MB(S2)MJ	Line 7 of Form MB(S11)MJ
NB	19.5%	9.4%	Line 10 of Form NB428MJ	14%	2.75%	Line 29 of Form NB428MJ	Line 62 of Form NB428MJ	Line 6 of Form NB(S2)MJ	Line 4 of Form NB(S11)MJ
NL	21.8%	8.7%	Line 17 of Form NL428MJ	6.3%	3.2%	Line 37 of Form NL428MJ	Line 69 of Form NL428MJ	Line 6 of Form NL(S2)MJ	Line 7 of Form NL(S11)MJ
NS	21%	8.79%	Line 10 of Form NS428MJ	8.85%	1.5%	Line 30 of Form NS428MJ	Line 68 of Form NS428MJ	Line 6 of Form NS(S2)MJ	Line 7 of Form NS(S11)MJ
NT	14.05%	5.9%	Line 10 of Form NT428MJ	11.5%	6%	Line 29 of Form NT428MJ	Line 33 of Form NT428MJ	Line 6 of Form NT(S2)MJ	Line 7 of Form NT(S11)MJ
NU	11.5%	4%	Line 10 of Form NU428MJ	5.51%	2.61%	Line 29 of Form NU428MJ	Line 32 of Form NU428MJ	Line 7 of Form NU(S2)MJ	Line 11 of Form NU(S11)MJ
ON	20.53%	5.05%	Line 20 of Form ON428MJ	10%	2.9863%	Line 60 of Form ON428MJ	Line 67 of Form ON428MJ	Line 5 of Form ON(S2)MJ	Not applicable
PE	19%	9.5%	Line 10 of Form PE428MJ	10.5%	1.30%	Line 54 of Form PE428MJ	Line 62 of Form PE428MJ	Line 6 of Form PE(S2)MJ	Line 7 of Form PE(S11)MJ
SK	14.5%	10.5%	Line 12 of Form SK428MJ	11%	2.519%	Line 31 of Form SK428MJ	Line 46 of Form SK428MJ	Line 7 of Form SK(S2)MJ	Line 2 of Form SK(S11)MJ
YT	15%	6.4%	Line 10 of Form YT428MJ	12.02%	0.67%	Line 29 of Form YT428MJ	Line 48 of Form YT428MJ	Line 7 of Form YT(S2)MJ	Line 6 of Form YT(S11)MJ

(4) If you are using this column for the calculation of the province or territory in which you reside, use line 55. If you are using this column for the calculation of a province or territory that is not your province or territory of residence, use line 80.

(5) If you are using this column for the calculation of the province or territory in which you reside, use line 76. If you are using this column for the calculation of province or territory that is not your province or territory of residence, use line 91.

See the privacy notice on your return.